

DM MARKET UPDATE

Weekly Research Supplement — August 3, 2026

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MARKET SNAPSHOT — AUGUST 3, 2026

ASSET	PRICE	CHG	NOTE
Bitcoin (BTC)	~\$62,643	-1.7% wk	Opened higher on Iran pause, reversed; Coldcard hack weighing on sentiment
Ethereum (ETH)	~\$1,840	-2.2% wk	Opened \$1,883, pulled back; risk-off from FOMC confusion + hack
S&P; 500	Rallying	Iran pause	July close 7,489 (+0.7% Fri); futures higher this morning
KOSPI	6,595	+17.91% Fri	Largest single-day gain in South Korean market history on July 31
WTI Crude	Lower today	~-2%	2nd Iran pause weekend; off \$87-88 range; Brent July close \$87.93
Gold	Higher today	Up on pause	Lower rate fears + geopolitical bid; up from ~\$4,090 area
30-yr Treasury	~5.19%	New 2007 high	FOMC confusion steepened yield curve; Warsh's hawkish hold
Sept FOMC Hike	~57% prob.	Up from 35%	3 dissenters wanted hike; Warsh dismissed June CPI as 'not much'
CLARITY Act	30-38% odds	4 days left	Polymarket fell from 43-48%; Senate recess Aug 7; no cloture filed

MACRO THEMES

FOMC: 9-3 Hold — Three Dissenters Wanted a Hike

Hold at 3.5-3.75% (most divided vote since Sept 2016).

Dissenters: Hammack, Kashkari, Logan (all hawkish). Warsh: 'I asked for a good family fight and I got one.' Dismissed June CPI as 'not much' consideration. 30-yr yield hit 2007 high. Dow fell 1,153 pts. September hike now ~57%.

Big Tech Split: MSFT + AMZN Validate AI; META + AAPL Miss

MSFT: Azure +43% (beat 40% guide), crossed \$100B annual rev, Copilot 30M seats, +15% Thursday. AMZN: AWS strong, +8-10%. META: rev \$60.8B beat, BUT FCF \$784M (down from \$8.5B); capex \$31.1B vs \$31.9B op. CF; stock -9.6%. AAPL: guidance miss on supply constraints, -7% Friday.

KOSPI +17.91% — Largest Single-Day Gain in Korean Market History

July 31: Kospi surged 17.9% to 6,595.45 — best day ever recorded. SK Hynix and Samsung exploded as Trump deescalated on Iran and MSFT proved AI chip demand is real. Shows the depth of fear that had been priced into South Korean chipmakers — and how fast it can reverse.

Iran: Second Pause Weekend — Oil Lower But No Deal

Trump paused strikes again Sunday August 2 (second time this month). Oil easing today. Brent ended July at \$87.93 after ranging \$72-102 all month. July CPI (mid-August) will reflect this — not June's \$65-67 oil. September hike risk elevated. No formal framework; Houthis still active.

CRYPTO THEMES

Coldcard Firmware Exploit: \$89-110M Drained from ~5,000 Wallets

5-year-old bug in Coldcard Mk3 firmware (2021 build) used software RNG instead of hardware RNG — private keys mathematically reconstructable offline. Three attack waves July 30-Aug 2: total 1,367-1,755 BTC, \$89-110M, from 4,585-5,000 addresses. Patched firmware released Aug 1. Holders migrating to new wallets (not panic selling) per Glassnode.

Bitcoin: \$62,643 This Morning — Holding Despite Hack

BTC opened \$63,497, fell to \$62,643. July closed at ~\$63,700, best monthly return since the current cycle began (+7%). BTC down only ~1.7% from close despite \$89-110M hack — resilience signal. ETF AUM still >\$79B. 3+ weeks of net positive flows before this week.

CLARITY Act: 30-38% Odds, August 7 Deadline in 4 Days

No cloture motion filed. Polymarket odds fell from 43-48% → 30-38%. Republicans updated bill July 22 with ethics provisions banning officials from issuing crypto — some previously supportive Democrats now opposed. If fails: year-end legislation rider or 2027 (election-shadow year). Watch for Thune floor announcement by Wednesday.

September Setup + Jackson Hole Aug 27-29

Sept hike at ~57% with FOMC in blackout. NFP Friday Aug 7 (last major pre-Jackson Hole data). July CPI mid-August will show oil-driven re-acceleration. Jackson Hole theme: 'Financial Innovation: Implications for Payments and Policy' — Warsh could address digital assets directly. First time crypto could react to Jackson Hole policy content, not just rate tone.

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Q2 / Q4 FY2026 EARNINGS SCORECARD — KEY RESULTS

COMPANY	REV (ACT/EST)	EPS / KEY METRIC	AI SIGNAL	STOCK
Microsoft (MSFT)	\$90B / \$87.6B (+2.9%)	EPS \$4.74 adj. (beat 12.6%); Azure 43% (beat 40%)	Azure \$100B annual. Copilot 30M seats. Demand > capacity	+15%
Amazon (AMZN)	Beat	AWS AI workloads strong; operating leverage improving	Enterprise AI ROI materializing; strong Q3 guidance	+8-10%
Meta (META)	\$60.8B / \$60.2B (beat)	EPS \$6.18 vs \$7.17 est. (-13.8%); FCF \$784M (was \$8.5B)	Capex \$31.1B ≈ all operating CF; raised to \$130-145B FY	-9.6%
Apple (AAPL)	Beat	Supply constraint guidance for current quarter	AI device upgrade cycle delayed; consumer signal weak	-7%
Intel (INTC)	\$16.1B / \$14.4B (+12%)	EPS \$0.42 (doubled est.); DC&AI; +59%	Foundry 18A on track; AI server demand strong	-7.89%*
Alphabet (GOOG)	\$119.8B / ~\$117B (+2.5%)	Cloud +82%; Op margin 34%	Capex raised to \$195-205B; Anthropic stake gain inflated GAAP	-1.2%
Tesla (TSLA)	\$28.2B / \$26.7B (+5.7%)	EPS \$0.33 vs \$0.54 est. (-39%)	GM 16.8%; Robotaxi in 7 metros; FSD 1.48M subs	-4.7%

*Intel: AH initially +12-13%, then reversed on capex raise (\$18B → >\$20B). Same AI capex fear pattern across all names.

ECONOMIC CALENDAR — WEEK OF AUG 3-7, 2026 + AHEAD

DATE	EVENT	DETAIL	SIGNAL
Mon Aug 3	Coldcard hack ongoing; Iran pause in market	BTC ~\$62,643; Oil lower	LOW
Mon-Thu	Various second-tier economic data	ISM services, etc.	Low
Tue Aug 4	Coinbase (COIN) Q2 Earnings	Crypto exchange — ETF flow + trading vol read	EARN.
Fri Aug 7	★★★ July Non-Farm Payrolls	Last major data before Jackson Hole	HIGH
Fri Aug 7	★★ CLARITY Act — Senate Recess (Hard Deadline)	4 days — cloture or it waits till Sept	HIGH
Mid-Aug	★★ July CPI	Reflects \$72-102 Brent oil range in July	HIGH
Sep 16-17	FOMC Rate Decision	~57% hike prob currently; July CPI sets the tone	FOMC
Aug 27-29	Jackson Hole Symposium	Theme: Financial Innovation + Payments — crypto relevance	Jackson

KEY TECHNICAL LEVELS

ASSET	CURRENT	SUPPORT	RESISTANCE	BIAS
Bitcoin	~\$62,643	\$60,000 / \$59,023	\$65,200 (200d MA) / \$65,600	Cautious

Ethereum	~\$1,840	\$1,700 / \$1,600	\$2,000 / \$2,200	Cautious
Gold	Higher today	\$4,000 / \$3,900	\$4,220 / \$4,300	Neutral
WTI Crude	Lower today	\$80 / \$75	\$88 (Jul close) / \$102 (peak)	Uncertain
30-yr Yield	~5.19%	4.8% / 4.5%	5.3% (next test)	Watch Sept FOMC
S&P; 500	Rallying	7,350 / 7,200	7,600 / ATH	Watch NFP

RISKS & OUTLOOK

BEARS WATCH

NFP hot Friday (150K+, strong wages) → September hike probability spikes to 70%+, DXY rallies, BTC re-tests \$59-60K support. **Coldcard hack extends** — further attack waves or other hardware wallet vulnerabilities revealed; exchange reserve spike; crypto confidence shaken. **July CPI hot mid-August** — \$87-102 oil in July produces a YoY re-acceleration above 4%, September hike locks in, 30-yr yield approaches 5.5%. **CLARITY Act fails to pass** by Aug 7 — pushed to year-end or 2027; institutional capital stays sidelined; catalyst disappears for months.

BULLS WATCH

NFP soft Friday (sub-100K) → September hike odds fall to 40%, dollar softens, BTC recovers toward \$65K, ETF inflows re-accelerate. **Iran formal ceasefire agreed** — Hormuz fully reopens, oil falls to \$75-78, July CPI outlook improves, September hold looks comfortable, risk assets rally. **CLARITY Act cloture surprise** — Thune files by Wednesday, bill passes before recess; institutional capital unlocked; structural crypto bid. **Coldcard settled** — FBI identifies attacker, patched firmware widely adopted, confidence in cold storage restores; crypto hardware narrative recovers.

COLD CARD EXPLOIT SUMMARY

DETAIL	FACT
Vulnerability origin	March 2021 firmware (Coldcard Mk3, versions 4.0.1-4.1.9)
Nature of flaw	Software RNG used instead of hardware RNG for key generation
Attacker method	Reconstructed private keys offline using device serial numbers — no physical access needed
Wave 1 (Jul 30)	594 BTC, ~\$38M, ~500 dormant wallets, drained in under 30 minutes
Wave 2 (Jul 31-Aug 1)	1,158 BTC, ~\$75M, 2,673 addresses (Galaxy Research)
Wave 3 (Aug 2)	1,367 BTC, ~\$89M, 4,585 addresses
By Aug 3 (Bloomberg)	~1,755 BTC, ~\$110M, ~5,000 wallets
Fix	Patched firmware released Aug 1 by Coinkite — update immediately if affected
Affected models	Coldcard Mk3, firmware 4.0.1 through 4.1.9 (March 2021 build)
On-chain signal	Exchange reserves rose modestly; Glassnode says holders migrating to new wallets, not panic selling